

Problems With Garment Industry.

A most important concern issue of Export Oriented Model is the autonomy, the quality of development, and dependency. Here, the argument is that export-led growth, especially when associated with export-processing zones, leads to shallow development with weak linkages into the rest of the economy.

It ends up looking a lot like the old “plantation” model—where workers are exploited and income gains aren't widely shared. As a result, domestic markets remain underdeveloped, and countries become heavily dependent on foreign demand for their exports. This makes them vulnerable when global markets slow down.

It also increases global economic instability. If many countries depend on the same export markets—mainly developed nations—then a slowdown in those markets can trigger a wider global downturn. Ideally, if growth were happening independently in multiple regions, a slowdown in one wouldn't cause a global issue.

Looking ahead, the flaws in this system could get worse. Export-led growth might work well for the first few countries that try it, but it becomes ineffective when too many jump in. China's rise is especially problematic because of its vast, low-wage labor force, which will likely remain for years. Other developing countries now struggle to compete with China on cost, meaning they can't easily join the export-led model. Without enough demand and with China dominating supply, the whole system may no longer work.

Example From Bangladesh's Garment Industry.

Although Bangladesh's garment industry is the largest source of export earnings, its connection with the local economy is relatively weak. This can be explained as follows:

1. **Dependence on Imported Raw Materials:** Most of the raw materials used in the garment industry—such as fabric, dyes, buttons, and zippers—are imported. As a result, opportunities for local raw material production are limited, and reliance on domestic industries does not develop. Almost 50% of the profit margin goes to the countries from where raw materials are imported.
2. **Lack of Supporting Industries:** Many supporting sectors related to the garment industry (e.g., textiles, accessories, design, logistics) are not yet fully developed. This gap contributes to the weak linkage between the industry and the local economy.
3. **Primarily Export-Oriented:** Around 80–90% of the products from the garment industry are exported. Domestic use is minimal, which limits the industry's integration with local consumer demand and market cycles.
4. **Dependence on Low-Wage Labor:** Most workers in this sector earn low wages, and their



income is often insufficient to stimulate significant consumption or investment within the local economy. Therefore, the productivity of the sector does not have the desired impact on national economic growth.

5. Profit Repatriation Abroad: Many garment factories have partial or full foreign ownership. As a result, a portion of the profits is repatriated overseas, which further limits the benefits to the local economy.

In summary, while the garment industry plays a vital role in exports, its reliance on foreign raw materials, technology, and markets has hindered the development of strong and sustainable linkages with the local economy.

Some Special Points:

1. Weak Backward linkage.
2. Climate Issues: Dyes are thrown in rivers. Evidence from Buriganga, Dhaleshahi etc.
3. Vulnerability to financial crisis.
4. Human Rights Issues.
5. Labor Wage Issues & Social Unrest.

Alternative Industries With Strong Backward & Forward Linkage.

Several industries in Bangladesh offer stronger backward and forward linkages with the local economy compared to the RMG (Ready-Made Garments) sector. These industries not only source inputs locally but also stimulate downstream markets and services. Here are some notable examples:

1. Agro-processing Industry.

Backward Linkage: Strong ties with local agriculture (fruits, vegetables, dairy, fish, grains).

Forward Linkage: Supplies processed foods to domestic markets, exports, and supports retail and hospitality sectors.

Examples: Frozen foods, fruit juices, dairy products, spices.

2. Leather and Footwear.



Backward Linkage: Uses locally available raw hides and skins.

Forward Linkage: Produces finished leather goods, shoes, bags, etc., for both export and local markets.

Notes: Government-identified as a priority sector with high value addition potential.

3. Information and Communication Technology (ICT).

Backward Linkage: Employs local talent and training institutions.

Forward Linkage: Supports various sectors (banking, education, government, telecom) through digital solutions.

Potential: Expanding role in digital transformation and outsourcing.

4. Jute Industry.

Backward Linkage:

- Heavily linked to local agriculture—raw jute is grown in various regions across the country.
- Provides seasonal employment to thousands of farmers.

Forward Linkage:

- Used in jute mills to produce yarn, sacks, bags, carpets, geo-textiles, and eco-friendly packaging.
- Supports packaging for agricultural exports, food grains, and construction materials.
- Growing demand for biodegradable alternatives globally is reviving export potential.

5. Tea Industry.

Backward Linkage:

- Dependent on local plantations (mainly in Sylhet and Chittagong Hill Tracts).
- Provides rural employment, especially for women and ethnic minorities.

Forward Linkage:



- Serves a large domestic consumption market.

Supports retail, packaging, branding, and exports.

- Growing potential in value-added tea products (green tea, herbal blends).

6. Sugar Industry.

Backward Linkage:

- Linked directly to local sugarcane farming.
- Thousands of smallholder farmers depend on sugarcane cultivation to supply the mills.
- Provides employment in rural areas during planting and harvesting seasons.

Forward Linkage:

- Produces refined sugar for domestic consumption.
- By-products like keru, molasses, bagasse, and press mud have industrial and agricultural uses.

